

Economics & Law

Practice: Game Theory

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(Q1) Two regulatory bodies who are in charge of the same market are faced with the following payoff structure:

	Regulate	Don't regulate
Regulate	1, 1	1, 0
Don't regulate	0, 1	0, 0

Is there a dominant strategy in this game? If so, is it a “strictly dominant strategy” (=gives the highest payoffs in all states of the world) or “weakly dominant strategy” (=gives the same payoff, or the highest payoff, in all states of the world)?

(Q2) Find the nash equilibrium (or multiple nash equilibria, if there is more than one) in the following game:

	A1	A2	A3
B1	5,5	7,6	9,5
B2	4,7	0, 0	2,3
B3	7,4	3,3	15,2

(Q3)

Find all pure strategy Nash-Equilibria of the games *a.)* to *d.)* and the subgame perfect equilibria of *e.)* to *h.)*.

a.)

		Player 2	
		L	R
Player 1	U	2,3	3,2
	D	1,2	2,1

b.)

		Player 2	
		L	R
Player 1	U	3,3	8,2
	D	2,8	6,6

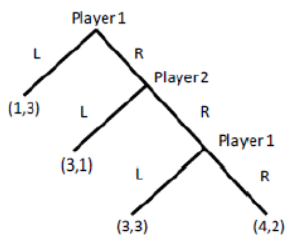
c.)

		Player 2	
		L	R
Player 1	U	-1,3	3,2
	D	2,1	2,3

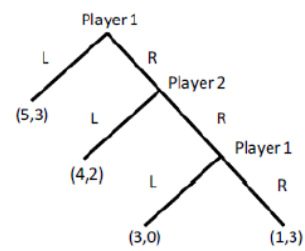
d.)

		Player 2		
		L	M	R
Player 1	U	2,3	1,2	1,2
	M	3,2	2,3	4,1
	D	4,3	1,2	3,1

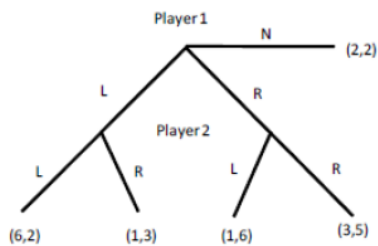
e.)



f.)



g.)



h.)

